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**POLICY MEMORANDUM:  
Developing Vietnam's Resilient Shipbuilding Partnership Strategy**

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The shipbuilding industry is a strategic pillar of Vietnam's long-term vision to become a strong maritime nation. Despite its location and capable firms, Vietnamese shipyards remain largely dependent on foreign sources for critical equipment. Vietnam's maritime ambitions reveal a broader economic security challenge: how to remain integrated into global trade while reducing vulnerabilities from asymmetric interdependence.

Vietnam depends heavily on China as its largest import source and the US as its largest export market. Therefore, how can Vietnam strategically build resilient domestic shipbuilding capabilities that support its maritime economic and security interests amid asymmetric interdependence?

Vietnam should adopt a comprehensive Resilient Shipbuilding Partnership Strategy to reshape the shipbuilding industry, focusing on economic diplomacy to diversify strategic partnerships that translate into resilient domestic capability.

**Background**

Vietnam's maritime vulnerability is not a sudden crisis, but a slow-burning vulnerability rooted in asymmetric dependencies. Asymmetric interdependence becomes strategically significant when economic networks concentrate essential flows that restrict access or impose high costs. Vietnam faces the vulnerable side: the US is its largest export market, purchasing \$153.2 billion in goods, while China the largest import source, with \$186 billion in imports. Vietnam benefits substantially from these relationships, but disruptions to Chinese inputs or US market access expose the country to costs Hanoi cannot easily offset.

Vietnam's shipbuilding sector relies heavily on foreign suppliers, mainly Chinese, Japanese, and Korean, for critical equipment, materials, and systems. This reflects the same concentration risk at a smaller scale. Shipbuilding is a sectoral expression of Vietnam's broader trade-dependence challenge and a key entry point to address it.

At the regional level, ASEAN views global value chain integration as a source of economic security. However, intensifying US protectionism and US-China rivalry are forcing regional recalibrate through diversification and technological upgrading rather than retreat from openness. A Vietnamese shipbuilding strategy based on specialised capabilities can strengthen

regional production networks and offer ASEAN partners alternatives, not by replacing China or competing with stronger Asian partners, but by becoming a reliable, complementary regional node.

Shipbuilding's dual-use, foundational role in supporting trade, industrial growth, and national security makes it an ideal area for economic diplomacy to address commercial and security concerns simultaneously.

Vietnam has nearly 90 ocean-going shipbuilding enterprises with a combined new-building capacity of around 3.5 million deadweight tonnes. Yet domestic shipyards remain financially constrained and heavily import-dependent, with low localisation rates limiting competitiveness. The issue is pressing given Shipbuilding Industry Corporation's (SBIC) current restructuring. Courts have declared 11 companies bankrupt, ordered one dissolved, and initiated bankruptcy proceedings for 41 companies, including SBIC's parent firm. Despite this, SBIC has orders scheduled through 2027-2028. Over 60 ships are expected to launch in 2026, valued at \$1-1.3 billion, as global order books reach a 17-year high. Valuable shipyards, skilled talent, and functioning infrastructure therefore face legal uncertainty. Attracting the right partners before restructuring closes will either build long-term domestic capability or risk losing the industry to fragmentation.

These pressures reveal a clear policy gap. Vietnam's strategy for building a strong maritime nation calls for an integrated maritime ecosystem connecting merchant shipping, shipbuilding and repair, logistics, supporting industries, technology, and national security, alongside stronger international integration and cooperation. The challenge is not just to attract more foreign investment or expand shipbuilding capacity, but to ensure partnerships support Vietnam's renewed shipbuilding industrial policy by building capabilities retained in Vietnam, including domestic suppliers, technical knowledge, skilled labour, and R&D.

## Analysis

Market and industrial solutions alone are unlikely to transform the shipbuilding industry. The wider benefits of domestic shipbuilding include skilled workers, repair facilities, supplier networks, and emergency capacity. A strategic approach to developing domestic capabilities must be commercially viable, crisis-resilient, and relevant to public-service vessels.

A resilient shipbuilding strategy should leverage economic diplomacy as the primary policy instrument. Vietnam cannot efficiently produce every vessel, component, or technology domestically, but external partnerships should provide more than capital or assembly contracts. Cooperation agreements should strategically include co-production, technology transfer, technical training, research cooperation, supplier development, and access to order books to drive substantive transformation. This approach aligns with Vietnam's "International Integration in the New Context," which emphasises combining international integration with domestic strength and strategically mobilising external resources.

From this direction, several key options are proposed:

### 1. Industrial Self-Sufficiency Approach

Vietnam can focus on state-led investment in domestic shipping. It can direct SBIC restructuring toward state ownership and use subsidies, local-content rules, and tariffs to force import substitution in equipment and materials, motivating rapid domestic production

expansion. This reduces exposure to foreign dependence, preserving strategic assets under Vietnam's control. However, Vietnam lacks the capital, technology base, and time to close the gap alone. State-led ownership and subsidies also risk channelling support toward the least competitive yards, the same structural dynamic that contributed to SBIC's bankruptcy, rather than building viable capacity.

## 2. Single-Anchor Partnership

This strategy focuses on a single partnership with South Korea or Japan to leverage their proven shipbuilding expertise, reflect regional interest in diversifying beyond China, and align with partners with geopolitical motivation to invest in Vietnam. One strategic partner can transfer capability faster, more coherently and transparently than several smaller ones. However, this merely replaces one asymmetric dependence with another, granting that partner excessive influence over Vietnam's shipbuilding industry and undermining strategic autonomy.

## 3. Resilient Shipbuilding Partnership Strategy

This strategy combines selective domestic capability-building with diversified partnerships. Vietnam can utilise strategic partnerships to build domestic capabilities, including shipbuilding, maintenance, repair, and retrofitting, which have identifiable commercial customers and generate repeated demand. All functions will be tied to binding localisation, rather than passive capital.

This aligns with ASEAN regional-node framing, leverages SBIC restructuring and order demands, addresses human-capital gaps, while supporting national resilience. However, it requires substantial diplomatic and technical effort and could be fragmented across agencies, delaying deal-making, particularly given SBIC's restructuring window.

## Recommendation

Vietnam should adopt a Resilient Shipbuilding Partnership Strategy under the implementation framework of its Maritime Action Plan. This will leverage economic diplomacy to negotiate partnerships at both state and firm levels, not limited to the US, China, and Asia. This includes proposing to create and lead a Shipbuilding Sub-Working Group under the ASEAN Maritime Transport Working Group.

The potential timeline follows:

**Phase One (2027):** Formalise ASEAN proposal and pre-qualify strategic investors before SBIC asset resolution

**Phase Two (2028 onwards):** Negotiating binding localisation

The Multilateral Trade Policy Department of MOIT and the Economic Diplomacy Department of the Ministry of Foreign Affairs will co-lead this initiative and coordinate with relevant ministries for construction, finance, and national defence to identify strategic partnerships that can deliver the capability-building priorities outlined above.

This whole-of-government approach must secure commitments built into concrete investment agreements, procurement contracts, and financing agreements. It should prioritise commercial and dual-use areas—shipbuilding, maintenance, research, and maritime-support vessels—building both industrial and maritime security capability. These partnerships must ensure no

single partner controls a critical node. It will also utilise SBIC's restructuring to preserve functioning shipyards, skilled workers, and existing orders while attracting investors.

This approach builds economic resilience on three fronts: internally through domestic capacity building, externally through strategic partnerships, and institutionally through ASEAN coordination.

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Declaration: I acknowledge the use of Gen-AI tools to support brainstorming and background research and edit and improve my language.